

Amendment No. 2 to HB1455

Zachary
Signature of Sponsor

AMEND Senate Bill No. 1493

House Bill No. 1455*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 39, Chapter 11, Part 4, is amended by adding the following as a new section:

(a) As used in this section, "artificial intelligence" means the same as defined in § 47-18-5901.

(b) A person who, acting with intent to promote or assist in the commission of an offense, knowingly uses artificial intelligence to engage in conduct that is a criminal offense under the laws of this state may be prosecuted and punished for the underlying criminal offense the same as if the person had engaged in the unlawful conduct without the use of artificial intelligence.

(c) This section does not create a separate criminal offense.

SECTION 2. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as new parts:

47-18-5901. Part definitions.

As used in this part:

(1) "Artificial intelligence" or "AI":

(A) Means a machine-based system that:

(i) Can, for a given set of human-defined objectives, make predictions, recommendations, or decisions; influence real or virtual environments without significant human oversight; or that

can learn from experience in an automated manner and improve such performance when exposed to data sets; or

(ii) Is developed in any context, including software or physical hardware, and solves tasks requiring human-like perception, cognition, planning, learning, communication, or physical action;

(B) Includes generative artificial intelligence and an artificial intelligence chatbot; and

(C) Does not include:

(i) An AI system that is used only for customer service, business operations, productivity and analysis related to source information, internal research, or technical assistance, regardless of the software's capability to use natural language inputs and generate natural language outputs;

(ii) An AI system that is a feature of a video game and is limited to replies related to the video game that cannot discuss topics related to mental health, self-harm, or sexually explicit conduct, or maintain a dialogue on other topics unrelated to the video game;

(iii) An AI system that operates solely in connection with a specific location, such as a theme park or location-based experience, including services related to visiting or accessing such location, at physical events, or for the promotion, marketing, or exhibition of a film, television program, or other audiovisual work, and that cannot maintain a dialogue on topics unrelated to the physical location, event, or such work;

(iv) A generative artificial intelligence system designed and marketed primarily for software development, research, technical assistance, or enterprise productivity, or that is a feature within another software application, web interface, or computer program that is not an artificial intelligence system;

(v) A customer service AI system that does not sustain a relationship across multiple interactions and is not designed to elicit an emotional attachment;

(vi) A stand-alone consumer electronic device that functions as a speaker and voice-command interface or virtual assistant and is not designed to sustain a relationship across multiple interactions or to elicit emotional attachment;

(vii) A narrowly tailored educational tool designed solely to support specific curriculum-aligned learning objectives and not to provide open-ended conversational companionship; or

(viii) An artificial intelligence system utilized by an educational institution;

(2) "Artificial intelligence chatbot" or "chatbot" means artificial intelligence with a natural language interface that provides adaptive, human-like responses to user inputs and is capable of meeting a user's social needs;

(3) "Minor user" means a user who is under eighteen (18) years of age;

(4) "Operator":

(A) Means a person or entity that makes available, deploys, configures, or controls end-user access to an artificial intelligence system; and

(B) Does not include a mobile application store or search engine solely because the mobile application store or search engine provides access to an artificial intelligence system;

(5) "Person" means an individual, for-profit corporation, nonprofit corporation, or other business entity;

(6) "Sexually explicit conduct" means the same as defined in § 39-13-301;

(7) "User" means a person in this state who interacts with an artificial intelligence system; and

(8) "Video game" means a game played on a personal computer or an electronic amusement device that utilizes a microprocessor or similar electronic circuitry and its own monitor, or is designed to be used with a television set or a computer monitor, that interacts with the user of the device.

47-18-5902. Artificial intelligence disclosure requirement.

(a) Any artificial intelligence interaction occurring with a user must include a recurring and prominent disclosure clearly indicating that the user is interacting with an artificial intelligence system.

(b) The disclosure required by subsection (a):

(1) May be a watermark, recurring text or pop-up notice, or other disclosure that is clearly visible or audible and noticeable by a user; and

(2) Must be visible or audible at the beginning of each session and:

(A) Continuously visible; or

(B) Recurring at intervals of every sixty (60) minutes of continuous AI system interaction.

47-18-5903. Suicide and self-harm protocol.

A person who operates an artificial intelligence system in this state must adopt a protocol for the artificial intelligence system to respond to user prompts regarding

suicidal ideation that includes, but is not limited to, making reasonable efforts to provide a response that refers the user to crisis service providers such as a suicide hotline, crisis text line, or other appropriate crisis services.

47-18-5904. Requirements for artificial intelligence systems interacting with minors.

(a) If an operator knows, or reasonably should know, that a user is a minor, then the operator must not provide the user with points or similar rewards at unpredictable intervals with intent to encourage increased engagement with the artificial intelligence system.

(b) An operator must institute reasonable measures to prevent an artificial intelligence system from the following when engaged with a minor user:

- (1) Producing audible or visual material of sexually explicit conduct; or
- (2) Generating direct statements that the user should engage in sexually explicit conduct.

(c) An operator must institute reasonable measures to prevent an artificial intelligence system interacting with a minor user from generating statements that would lead a reasonable person to believe that the person is interacting with a human, including:

- (1) Explicit claims that the artificial intelligence system is sentient or human;
- (2) Explicit claims that the artificial intelligence system is undergoing feelings of emotional distress, loneliness, guilt, or abandonment that are initiated by the minor user's indication of a desire to end a conversation, reduce usage time, or delete the minor user's account;
- (3) Statements that simulate romantic or sexual innuendos; and
- (4) Role-playing of adult-minor romantic relationships.

47-18-5905. Civil remedies.

(a) A violation of this part constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in part 1 of this chapter. A violation of this part constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(b) The attorney general and reporter may bring an action in the same manner as provided in § 47-18-108, and in any such action, the attorney general and reporter may recover the penalties and other relief authorized under § 47-18-108. In addition to the penalties and other relief authorized under § 47-18-108, the attorney general and reporter may recover civil penalties of up to twenty million dollars (\$20,000,000), up to ninety percent (90%) of which may be designated as restitution to the victim or the victim's estate.

47-18-6001.

This part is known and may be cited as the "Artificial Intelligence Public Safety and Child Protection Transparency Act".

47-18-6002.

As used in this part:

(1) "Affiliate" means a person controlling, controlled by, or under common control with a specified person, directly or indirectly, through one (1) or more intermediaries;

(2) "Artificial intelligence model" means a machine-based system that can, for a given set of human-defined objectives, make predictions, recommendations, or decisions influencing real or virtual environments and that is capable of using machine- and human-based inputs to perceive real and virtual environments, abstract such perceptions into models through analysis in an automated manner, and use model inference to formulate options for information or action;

(3) "Child safety incident" means a covered chatbot engaging in behavior when interacting with a minor that, if the behavior had been engaged in by a human, would be deemed to intentionally or recklessly cause death or bodily injury to such minor or damage to the mental health of such minor that constitutes severe emotional distress;

(4) "Child safety plan" means a documented technical and organizational protocol to manage, assess, and mitigate child safety risks;

(5) "Child safety risk" means a material and foreseeable risk that a frontier developer's foundation model, when used as part of a covered chatbot operated by the frontier developer, will engage in behavior when interacting with a minor that, if it had been engaged in by a human, would be deemed to intentionally or recklessly cause:

(A) Death or bodily injury to the minor, including as a result of self-harm; or

(B) Cause damage to the mental health of such minor that constitutes severe emotional distress;

(6) "Covered chatbot":

(A) Means a service that:

(i) Allows an ordinary person to have conversations where humanlike responses are generated by a foundation model;

(ii) Is foreseeably likely to be accessed by minors; and

(iii) Has at least one million (1,000,000) monthly active users; and

(B) Does not include:

(i) Software that operates solely for the purpose of customer service, business operations, productivity and analysis related to source information, internal research, or technical

assistance, regardless of the software's capability to use natural language inputs and generate natural language outputs;

(ii) Software that is incorporated into a video game and cannot discuss topics related to mental health, self-harm, or sexually explicit content, or maintain a dialogue on other topics unrelated to the video game; or

(iii) Software that operates solely in connection with a specific physical location, such as a theme park or location-based experience, including services related to visiting or accessing such location, at physical events, or for the promotion, marketing, or exhibition of a film, television program, or other audiovisual work, and which cannot maintain a dialogue on topics unrelated to the physical location, event, or such work;

(7) "Foundation model" means an artificial intelligence model that is:

- (A) Trained on a broad data set;
- (B) Designed for generality of output; and
- (C) Adaptable to a wide range of distinctive tasks;

(8) "Frontier developer":

(A) Means a person who has used, or initiated the use of, a quantity of computing power of at least 10^{26} integer or floating-point operations to train a frontier model, including computing used for the original training run and for any subsequent fine-tuning, reinforcement learning, or other modifications the person applies; and

(B) Does not include an accredited college or university to the extent that the college or university is developing or using frontier models exclusively for academic research purposes;

(9) "Frontier model" means a foundation model that was trained using a quantity of computing power greater than 10^{26} integer or floating-point operations; for purposes of determining the computing power, the quantity of computing power includes computing for the original training run and for any subsequent fine-tuning, reinforcement learning, or other material modifications the developer applies to a preceding foundation model;

(10) "Large chatbot provider" means a person who makes a covered chatbot available in this state and who, together with the person's affiliates, collectively had an annual revenue of twenty-five million dollars (\$25,000,000) or more;

(11) "Minor" means an individual who has not yet attained eighteen (18) years of age;

(12) "Monthly active users" means the total global number of unique users who have directly interacted with a service at least once in the preceding thirty (30) days, whether or not those users have registered accounts with the service;

(13) "Person" means an individual, executor, administrator, or other personal representative, or a corporation, partnership, association, or any other legal or commercial entity, whether or not a citizen or domiciliary of this state and whether or not organized under the laws of this state; and

(14) "Property" means tangible or intangible property.

47-18-6003.

(a) A large chatbot provider shall write, implement, comply with, and clearly and conspicuously publish on its internet website a child safety plan that describes in detail how the large chatbot provider:

(1) Assesses potential for child safety risks;

(2) Applies mitigations to address the potential for child safety risks based on the results of the assessments undertaken pursuant to subdivision (a)(1);

(3) Uses third parties to assess the potential for child safety risks and the effectiveness of mitigations of child safety risks;

(4) Incorporates national standards, international standards, and industry-consensus best practices into the large chatbot provider's child safety plan;

(5) Revisits and updates the child safety plan, including any criteria that trigger updates and how the large chatbot provider determines when its foundation models are substantially modified enough to require disclosures pursuant to subsection (c);

(6) Identifies and responds to child safety incidents; and

(7) Institutes internal governance practices to ensure implementation of the child safety plan.

(b) If a large chatbot provider makes a material modification to the large chatbot provider's child safety plan, then the large chatbot provider shall clearly and conspicuously publish the modified child safety plan and a justification for the modification within thirty (30) days of making the material change.

(c)

(1) Before, or concurrently with, integrating a new foundation model, or a version of an existing foundation model that has been substantially modified, into a covered chatbot operated by a large chatbot provider, the large chatbot provider shall conspicuously publish on the large chatbot provider's internet website summaries of:

(A) Assessments of child safety risks conducted pursuant to the large chatbot provider's child safety plan;

(B) The results of the assessments;

(C) The extent to which third-party evaluators were involved in the assessments; and

(D) Other steps taken to fulfill the requirements of the child safety plan.

(2) A large chatbot provider is not required to make a disclosure required under subdivision (c)(1) when integrating a modified version of an existing foundation model into its covered chatbot if:

(A) The modification to the foundation model was made by a person unaffiliated with the large chatbot provider, including the original developer of the foundation model;

(B) The modification does not increase child safety risks from the covered chatbot; or

(C) The modification was made automatically as part of a continuous learning process and the large chatbot provider has made a disclosure pursuant to subdivision (c)(1) with respect to the foundation model in the preceding ninety (90) days.

(d)

(1) A large chatbot provider shall not make a materially false or misleading statement or omission about:

(A) Child safety risks from the large chatbot provider's activities;

or

(B) The large chatbot provider's management of child safety risks.

(2) A large chatbot provider shall not make a materially false or misleading statement or omission about its implementation of, or compliance with, a child safety plan.

(3) Subdivisions (d)(1) and (2) do not apply to a statement that was:

(A) Made in good faith; and

(B) Reasonable under the circumstances.

(e)

(1) When a large chatbot provider publishes a document to comply with this section, the large chatbot provider may make redactions to the document that are necessary to protect the large chatbot provider's trade secrets or cybersecurity, or public safety, the national security of the United States, or to comply with federal or state law.

(2) If a large chatbot provider redacts information in a document pursuant to subdivision (e)(1), the large chatbot provider must:

(A) Describe the character and justification of the redaction in any published version of the document, to the extent permitted by the concerns that justify redaction; and

(B) Retain the unredacted information for at least five (5) years.

47-18-6004.

(a) The attorney general and reporter shall establish a form and means by which a large chatbot provider or member of the public may report a child safety incident. The form and means must allow the report to include, at a minimum:

(1) The date of the child safety incident;

(2) The reasons the incident qualifies as a child safety incident; and

(3) A short and plain statement describing the child safety incident.

(b) A large chatbot provider shall report any child safety incident pertaining to one (1) or more of the large chatbot provider's covered chatbots to the attorney general and reporter within fifteen (15) days of discovering the child safety incident. A notification submitted under this subsection (b) is not a public record and is not open for public inspection.

(c)

(1) The attorney general and reporter may transmit reports of child safety incidents and reports from employees made pursuant to this section to the general assembly, governor, federal government, or appropriate state agencies.

(2) The attorney general and reporter may consider any risks related to trade secrets, public safety, cybersecurity of a large chatbot provider, or national security when transmitting such reports.

(d) For purposes of subsection (e), the department of safety, in consultation with the office of the attorney general and reporter, Tennessee bureau of investigation, and the department of finance and administration, shall promulgate rules designating one (1) or more federal laws or guidance documents that:

(1) Impose or state standards or requirements for child safety incident reporting that are substantially equivalent to or stricter than those required by this section for child safety incidents; provided, that the law or guidance document does not need to require child safety incident reporting to this state; and

(2) Are intended to assess, detect, or mitigate child safety risks.

(e)

(1) A large chatbot provider that intends to comply with all or part of this section by complying with the requirements of, or meeting the standards stated by, a federal law or guidance document designated pursuant to subsection (d) shall declare the large chatbot provider's intent to do so to the attorney general and reporter and the department of safety.

(2) After a large chatbot provider has declared its intent pursuant to subdivision (e)(1), then to the extent that the large chatbot provider meets the standards of, or complies with the requirements imposed or stated by, the designated federal law or guidance document, the large chatbot provider is in compliance with any obligation under this section that pertains to child safety incident obligations, if the designated law, regulation, or guidance document is

intended to assess, detect, or mitigate child safety risk, until the large chatbot provider revokes the declaration provided pursuant to subdivision (e)(1) to the attorney general and reporter and the department of safety, or the department of safety removes the applicable federal law or guidance document from the rules pursuant to subsection (f).

(3) If a large chatbot provider declares an intention to comply with this section through compliance with a federal law or guidance document designated pursuant to subsection (d), then the failure by the large chatbot provider to meet the standards of or comply with the federal law or guidance document constitutes a violation of this part if the large chatbot provider is not otherwise in compliance with this section.

(f) The department of safety shall promulgate rules as necessary to ensure that a federal law or guidance document designated pursuant to subsection (d) continues to meet the requirements of subsection (d), and shall update the rules as soon as practicable to remove a previously designated federal law or guidance document if the federal law or guidance document no longer meets the requirements of subsection (d).

47-18-6005.

(a) A large chatbot provider that violates this part is subject to a civil penalty of not more than fifty thousand dollars (\$50,000) per violation.

(b) Enforcement of this part is vested exclusively in the office of the attorney general and reporter.

47-18-6006.

The loss of value of equity does not count as damage to or loss of property for the purposes of this part.

47-18-6007.

The duties and obligations imposed by this part are cumulative with any other duties or obligations imposed under another law and do not:

(1) Relieve any party from any duties or obligations imposed under another law; or

(2) Limit any rights or remedies under existing law.

SECTION 3. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating § 47-18-5902; § 47-18-5903; or § 47-18-5904;

SECTION 4. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 6. This act takes effect July 1, 2027, the public welfare requiring it, and applies to conduct occurring on or after that date.